

The Debt Crisis Is Getting More Dangerous-And You Will Feel It

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For years, Americans have heard warnings about the national debt climbing into the tens of trillions of dollars.

The numbers have become so large that they barely register anymore.

Thirty trillion. Thirty-five trillion. Nearly forty trillion.

But the real danger may no longer be simply how much America owes.

It is how much America must now pay to keep borrowing.

The U.S. Treasury is selling 30-year government bonds at yields around 5.2%, potentially the highest borrowing cost for that maturity in roughly a quarter century.

That may sound like something only Wall Street investors should care about.

It isn't.

Because when the cost of borrowing rises for Washington, the effects eventually spread through the entire economy--from mortgages and retirement accounts to business loans, taxes and even America's ability to respond to future crises.

The Debt Spiral Is Getting Worse

The basic problem is actually very simple.

Washington spends more money than it collects.

To cover the difference, the government borrows.

That borrowing creates interest payments.

When interest rates rise, those payments become more expensive.

Then Washington must borrow even more money--not only to fund current spending, but increasingly to service the debt it already accumulated.

That is how a debt problem begins feeding upon itself.

Interest on the public debt has already reached roughly \$1.17 trillion this fiscal year, about 15% higher than a year earlier as Treasury borrowing costs have risen.

Think about what that means.

America is now spending extraordinary sums simply paying interest on money that was already spent.

That is not money building roads, strengthening the military, helping families or preparing for the next crisis.

It is the cost of yesterday's borrowing.

Investors Want To Be Paid More

There is another warning buried inside the bond market.

America can still borrow enormous amounts of money. Investors are still buying Treasury bonds.

But increasingly, they are demanding higher interest rates to do it.

Part of the problem is sheer supply. Years of massive federal deficits have flooded the market with government debt.

At the same time, some traditional buyers are playing a smaller role.

Foreign ownership of U.S. Treasury securities has reportedly declined to around 23% from roughly 33% a decade ago.

That does not mean the world is suddenly abandoning the dollar.

But it does mean Washington cannot simply assume that investors will forever absorb trillions of dollars of new debt at extremely cheap rates.

And when investors demand more interest, taxpayers eventually pay the bill.

Why You Will Feel It

You may never purchase a Treasury bond in your life.

It can still affect almost every major financial decision you make.

Your mortgage: Higher long-term government bond yields can help keep mortgage rates elevated, making homes more expensive to finance.

Your home's value: When monthly mortgage payments rise, fewer people can afford to buy. That can weaken housing demand and put pressure on prices.

Your retirement account: Higher Treasury yields create competition for stocks. If investors can earn attractive returns from relatively safer government bonds, they may become less willing to pay high prices for risky investments. Recent increases in Treasury yields have already put pressure on equity markets.

Your job: Companies borrow money too. Higher financing costs can mean fewer expansions, delayed projects and slower hiring.

Your taxes and government services: The more Washington spends servicing debt, the less flexibility it has everywhere else.

Eventually politicians face unpleasant choices: cut spending, raise taxes, keep borrowing, or pursue policies designed to push borrowing costs lower--potentially creating new inflation risks.

None of those choices is painless.

It Is Also A National Security Problem

Debt also limits national power.

America may someday need enormous financial resources to confront a recession, banking crisis, major war, pandemic or another unforeseen emergency.

But every trillion dollars devoted to interest reduces Washington's room to maneuver.

A nation drowning in debt does not need to technically default before the consequences become serious.

Financial weakness can gradually constrain military decisions, domestic priorities and America's ability to respond to geopolitical shocks.

That is why today's bond-market warning deserves more attention than another headline announcing that the national debt has crossed another trillion-dollar milestone.

The problem is changing.

For years, Washington could borrow staggering amounts of money while interest rates remained historically low.

That made enormous deficits easier to ignore.

But cheap money cannot be assumed forever.

And when a government carrying nearly \$40 trillion in debt suddenly discovers that borrowing has become much more expensive, the consequences will not remain confined to Wall Street or the Treasury Department.

Eventually, they reach your mortgage.

Your retirement account.

Your job.

Your taxes.

And your kitchen table.

The debt crisis is becoming more dangerous--and whether Americans understand the bond market or not, they are increasingly likely to feel the consequences.

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